

MODEL QUESTION PAPER
FINANCIAL MANAGEMENT - SET I

(Maximum marks: 75)

(Time: 3 hours)

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

1	A managerial activity which is concerned with the planning and controlling of the firm's financial resources is called	M 1.02	U
2	 refers to the maximization of market price per share of the company.	M 1.04	U
3	Long term planning for making and financing proposed capital outlay is said to be	M2.01	U
4	 refers to the process of determining the quantities of funds that a firm needs to run it's business	M2.01	U
5	Funds needed for acquiring fixed assets are known as	M3.01	U
6	 represent the interest of shareholders in a company measured in terms of money.	M3.02	U
7	 refers to the minimum rate of return which a firm must earn on it's investment.	M3.06	U
8	The amount of capital required for the day to day working of a business is called	M4.01	U
9	 is the share of profits of a company divided amongst it's shareholders.	M4.05	U

PART B

II Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	Explain the goals of financial management.	M 1.04	U
2	State in brief the functions of a financial manager.	M 1.05	R
3	Enumerate the process of capital budgeting.	M 2.02	U
4	Find out Payback period from the following data Net Investment:200000 Life: 10 years Annual net cash flow: 50000	M 2.05	A
5	Explain the types of leverages.	M 3.11	U
6	Describe the types of debentures.	M 3.04	U
7	Explain the meaning of owned capital and borrowed capital	M 3.02	U
8	State the meaning of the term Capital gearing	M 3.09	R
9	Explain the concept of working capital.	M 4.02	A
10	Explain the meaning of dividend policy.	M 4.07	U

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	Explain the approaches to finance function.	M 1.06	U
	OR		
IV	Describe the importance of financial management.	M 1.03	U

V	Describe cash flows and the evaluation methods for determining cash flows.	M2.04	U
VI	OR Calculate NPV and Profitability Index of the project assuming that the discount factor is 10 %. Initial Cash outflows Rs 25000 Cash inflow:- End of the year Rs 10000 7500 12500 5000	M2.06	A
VII	Describe various sources of finance.	M3.01	U
VIII	OR Explain the theories of capital structure.	M3.08	U
IX	Examine the relative merits of preference shares mode of financing.	M3.04	U
X	OR What do you mean by Ploughing back of profit? Explain its need.	M3.05	U
XI	Explain the factors affecting the working capital requirements of a firm.	M4.04	U
XII	OR Describe the factors affecting dividend policy.	M4.08	U
XIII	Describe the different components of working capital	M4.03	U
XIV	OR What is dividend? Enumerate various forms of dividend.	M4.06	U

Question Wise Analysis

Course : Financial Management

Q. No	Module Outcome	Cognitive Level	Marks	Time
I.1	M 1.02	U	1	1 min
I.2	M 1.04	U	1	1 min
I.3	M2.01	U	1	1 min
I.4	M2.01	U	1	1 min

I.5	M3.01	U	1	1 min
I.6	M3.02	U	1	1 min
I.7	M3.06	U	1	1 min
I.8	M4.01	U	1	1 min
I.9	M4.05	U	1	1 min
II.1	M 1.04	U	3	6 min
II.2	M 1.05	R	3	6 min
II.3	M 2.02	U	3	6 min
II.4	M 2.05	A	3	6 min
II.5	M 3.11	U	3	6 min
II.6	M3.04	U	3	6 min
II.7	M 3.02	U	3	6 min
II.8	M3.09	R	3	6 min
II.9	M4.02	A	3	6 min
II.10	M 4.07	U	3	6 min
III	M 1.06	U	7	20 min
IV	M 1.03	U	7	20 min
V	M2.04	U	7	20 min
VI	M 2.06	A	7	20 min
VII	M 3.01	U	7	20 min
VIII	M3.08	U	7	20 min
IX	M 3.04	U	7	20 min
X	M3.05	U	7	20 min
XI	M4.04	U	7	20 min
XII	M4.08	U	7	20 min
XIII	M4.03	U	7	20 min
XIV	M4.06	U	7	20 min

Course : Financial Management

Blue Print

Mark Distribution

Module	hr / Module	Marks/Module ($h_i / \sum H_i$) * 123 ($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No of Questions	Marks	No of Questions	Marks	No of Questions	Marks	No of Questions	Marks
1	10	21	2	2	2	6	2	14	6	22
2	16	34	2	2	2	6	2	14	6	22
3	18	38	3	3	4	12	4	28	11	43
4	14	30	2	2	2	6	4	28	8	36
Total	58	123	9	9	10	30	12	84	31	123

Blue Print

Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	6	5
Understanding	104	85
Applying	13	10
Analysing		
Evaluating		
Creating		
Total	123	100

SCHEME OF VALUATION (Scoring Indicators)- Set I **Financial Management**

Part A

- I. Answer **all** questions in one word or one sentence. 1 mark for each right answer

1. Financial management
2. Wealth maximisation
3. Capital budgeting
4. Capitalisation
5. Long term finance
6. Share
7. Cost of capital
8. Working capital
9. Dividend

(9x1=9marks)

Part B

- II. Answer **any eight** questions from the following. Each question carries 3 marks.

1. Goals of financial management.(1 mark for each point)

a)Profit maximisation: The main objective of financial management is to safeguard the economic interest of the persons who are directly or indirectly connected with the company,i.e shareholders,creditors,employees and others.Hence,these interested parties must get maximum profit for their contributions.

b)Wealth maximisation: Wealth maximisation is an appropriate decision criterion for financial management decisions. Wealth maximisation aims at maximising the wealth of shareholders by increasing earning per share.

c)Value maximisation: Another objective of financial management is to increase the value of the organization. The objective is to maximise the long term market value of the organization.

2. Functions of a financial manager.(1.5 marks each for each function)

I-Executive or managerial functions

- **Estimation of Capital Requirement**
- **Determination of Capital structure**
- **Choice of sources of funds**
- Procurement of funds
- Investment of Funds
- Disposal of surplus

II-Routine Functions

- Record keeping and reporting.
- Preparation of financial statements.
- Managing cash balance.
- Cash planning & credit management.
- Protection and safety of financial documents

3. Process of capital budgeting.(Brief explanation required)

- Project generation
- Project evaluation
- Project selection
- Project execution
- Follow up

4. Calculate pay back period(1.5 mark for equation and 1.5 marks for right answer)

Payback period = **Net Investment/Annual cash inflow**

=Rs 200000/Rs 50000

= 4 years

5. Types of leverages.(Brief description required)

- a) **Operating leverage**-It is the firm's ability to use fixed operating costs to magnify the effect of change in sales on its earnings before interest and tax.
- b) **Financial leverage**-The use of fixed income bearing securities along with the owner's equity in the total capital structure of the company is describes as financial leverage.
- c) **Composite leverage**-It expresses the relationship between quantity produced and sold and EPS.

6. Types of debentures.(Brief description required)

Types of Debentures

- a) Unsecured debentures
- b) Secured debentures

- c) Redeemable debentures
 - d) Irredeemable debentures
 - e) Convertible debentures
 - f) Non-convertible debentures
7. Explain the meaning of owned capital and borrowed capital.(Brief description required)
Owned Capital refers to the capital collected by issuing various types of shares. **Borrowed capital** refer tot he capital collected by issuing debentures, bonds, taking loans from banks.
8. State the meaning of the term Capital gearing.(Brief description required)
 The term ‘capital gearing’ refers to the relationship between equity capital (equity shares plus reserves) and long-term debt.
9. Explain the concept of working capital.(Brief description required)
 It is the amount of capital required for the day to day working of a business
10. 10.Explain the meaning of dividend policy.(Brief description required)
 A dividend policy is the policy a company uses to structure its dividend payout to shareholders.
- (8x3=24 marks)

Part C

Answer **all** questions, Each question carries 7 marks.

III Approaches to finance function.(3.5 marks each for each concept)

1. Traditional concept of finance.

The traditional concept of finance covers three interrelated aspects of raising and administering resources from outside. These are (a) financial institutions and capital markets (b) financial instruments and (c) procedural and legal aspects of raising finance.

2. Modern concept of finance.

The modern approach views the term financial management in a broad sense. According to the modern approach, the finance function covers both acquisition of funds as well as their allocations.Under this concept, financial management covers three broad areas

- a) Investment decision.
- b) Financing decision.
- c) Dividend decision.

OR

IV Importance of financial management.(Brief explanation required)

- Successful promotion
- Smooth running of the business
- Co-ordination of functional activities
- Decision-making
- Determinant of business success

V Describe cash flows and the evaluation methods for determining cash flows..(Brief explanation required)

Cash flows are the net amount of cash and cash-equivalents being transferred into and out of a business. Cash received are inflows, and money spent are outflows. There are different evaluation methods for determining cash flows. The traditional methods or non discount methods include: **Payback period and Accounting rate of return method**. The discounted cash flow method includes the **NPV method, profitability index method and IRR**.

OR

VI Calculate NPV and Profitability Index of the project assuming that the discount factor is 10 %.(3.5 marks each)

Initial Cash outflows Rs 25000				
Cash inflow:-				
Year	Cash flow (Rs)	Discount factor@10%	P V of Cash flow	
1	10000	0.909	9090	
2	7500	0.826	6195	
3	12500	0.751	9388	
4	5000	0.683	3415	
			Total	28088
			Less Initial outlay	25000
			NPV	3088

Profitability index=PV of cash inflows/initial cash outlay

=Rs 28088/Rs 25000

=1.12

VII Various sources of finance..(Brief explanation required)

I -Issue of shares

II-Issue of debentures

III.Retained Earnings

IV-Loans from financial institutions

V-Loans from commercial banks

OR

VIII Explain the theories of capital structure..(Brief explanation required)

- 1. Net Income Approach:**According to this approach, a firm can increase the value of the firm as well as market price of equity shares by using debt financing to the maximum

possible extent.

2. **Net Operating Income Approach:** According to this approach, change in the capital structure of a company does not affect the market value of the firm and the overall cost of capital remains constant irrespective of the method of financing.
3. **Traditional Approach:** According to this theory, the value of the firm can be increased initially or the cost of capital can be decreased by using more debt as the debt is a cheaper source of funds than equity. Beyond a particular point, the cost of equity increases because increased debt increases the financial risk of the equity shareholders.
4. **Modigliani and Miller Approach:** M&M hypothesis is identical with the Net Operating Income approach if taxes are ignored. However, when corporate taxes are assumed to exist, their hypothesis is similar to the Net Income Approach.

IX Examine the relative merits of preference shares mode of financing. (Brief explanation required)

1. Fixed dividend
2. Cumulative dividends
3. Redemption
4. Participation
5. Convertibility:

OR

X What do you mean by Ploughing back of profit? Explain it's need. (Brief explanation required)

The 'Ploughing Back of Profits' is a management policy under which all profits are not distributed amongst the shareholders, but a part of the profit is 'Ploughed back' or retained in the company.

These retained earnings are utilised in future for financing modernization and expansion programmes and for meeting the fixed or working capital needs of the company.

XI Explain the factors affecting the working capital requirements of a firm. (Brief explanation required)

- a) Nature of business
- b) Size of business
- c) Manufacturing process
- d) Volume of sales
- e) Production policy
- f) Credit policy
- g) Price level changes

OR

XII Describe the factors affecting dividend policy.(Brief explanation required)

- a) **Nature and Size of Organization**
- b) **Past Dividend Rates**
- c) **Earnings Stability**
- d) **Debt Obligations**
- e) **Investment Opportunities**
- f) **Shareholders' Expectations**
- g) **Company's Financial Policy**

XII Describe the different components of working capital

- a) **Current Assets**
- b) **Cash and cash equivalents**
- c) **Account Receivables**
- d) **Inventory**
- e) **Account Payables**

OR

XIV What is dividend? Enumerate various forms of dividend.

A **dividend** is a distribution of profits by a corporation to its shareholders.

Forms of Divident

a)Cash dividend-Dividend is usually paid in cash

b)Stock Dividend-Dividend is issued in the form of bonus shares

c)Property Dividend-Dividend in the form of assets other than cash

d)Interim Dividend-Dividend declared before the declaration of final dividend

e)Liquidating Dividend-When the board of the company thinks of returning the original capital invested by the shareholders then it is known as the liquidating dividend

MODEL QUESTION PAPER

FINANCIAL MANAGEMENT - SET II

(Maximum marks: 75)

(Time: 3 hours)

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

1	Traditional approach confines finance function only to -----	M 1.01	U
2	Financial management is primarily concerned with -----	M 1.02	U
3	----- is the planning of capital expenditures which provides yield over a number of years.	M 2.01	U
4	----- method is used to measure the rate of return on investment in a project	M 2.06	A
5	-----represent the interest of shareholders in a company measured in terms of money	M 3.03	U
6	Certificate issued by a company acknowledging a debt is called ----	M 3.03	U
7	If a firm's ratio of fixed costs to total cost is nil, it should not haveleverage.	M 3.11	U
8	Dividend usually paid in cash is called -----	M 4.06	U
9	-----refers to the difference between current assets and current liabilities	M 4.02	A

PART B

II Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	Explain the importance of financial management.	M 1.03	U
2	Explain financial planning.	M 1.06	U
3	Describe Capitalization.	M 2.01	U
4	Find out Payback period for a project which requires a cash outlay of Rs 25000,with a life of 10years which yields an expected annual net cash flow of Rs 10000	M 2.05	A
5	State the concept of Ploughing back of profit	M 3.05	U
6	State the meaning of the term Leverages.	M 3.10	R
7	Explain Capital structure decision	M 3.07	U
8	Describe the meaning of Working capital	M 4.01	U
9	Explain the factors determining the working capital requirements of a firm.	M 4.04	U
10	Describe the forms of Dividend	M 4.06	U

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	Explain the goals or objectives of financial management OR	M1.04	U
IV	Explain the functions of a financial manager	M1.05	U
V	List out the steps in the process of capital budgeting OR	M2.02	R
VI	Calculate NPV of the following projects, assuming that the cost of capital is 10% and the initial investment is Rs 1600 each	M2.06	A

	Cash flows Year Project A Project B 1 800 200 2 800 400 3 400 400 4 200 400 5 600 6 800		
VII	Elaborate the meaning of Shares and Debentures OR	M3.03	U
VIII	Explain the concept of cost of capital	M3.06	U
IX	Explain the meaning of Owned capital and Borrowed capital OR	M3.02	U
X	Explain the types of leverages	M3.11	U
XI	Describe the different components of working capital OR	M 4.03	U
XII	Explain the concepts of working capital	M4.02	A
XIII	Explain the meaning of Dividend policy OR	M4.07	U
XIV	Explain the factors affecting dividend policy	M4.08	U

Question Wise Analysis

Course : Financial Management

Q. No	Module Outcome	Cognitive Level	Marks	Time
I.1	M 1.01	U	1	1 min
I.2	M 1.02	U	1	1 min
I.3	M2.01	U	1	1 min
I.4	M2.06	A	1	1 min
I.5	M3.03	U	1	1 min
I.6	M3.03	U	1	1 min
I.7	M3.11	U	1	1 min

I.8	M4.06	U	1	1 min
I.9	M4.02	A	1	1 min
II.1	M 1.03	U	3	6 min
II.2	M 1.06	U	3	6 min
II.3	M 2.01	U	3	6 min
II.4	M 2.05	A	3	6 min
II.5	M 3.05	U	3	6 min
II.6	M3.10	R	3	6 min
II.7	M 3.07	U	3	6 min
II.8	M4.01	U	3	6 min
II.9	M4.04	U	3	6 min
II.10	M 4.06	U	3	6 min
III	M 1.04	U	7	20 min
IV	M 1.05	U	7	20 min
V	M2.02	R	7	20 min
VI	M 2.06	A	7	20 min
VII	M 3.03	U	7	20 min
VIII	M3.06	U	7	20 min
IX	M 3.02	U	7	20 min
X	M3.11	U	7	20 min
XI	M4.03	U	7	20 min
XII	M4.02	A	7	20 min
XIII	M4.07	U	7	20 min
XIV	M4.08	U	7	20 min

Blue Print

Mark Distribution

Module	hr / Module	Marks/Module ($h_i / \sum H_i$) * 123 ($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No of Questions	Marks	No of Questions	Marks	No of Questions	Marks	No of Questions	Marks
1	10	21	2	2	2	6	2	14	6	22
2	16	34	2	2	2	6	2	14	6	22
3	18	38	3	3	3	9	4	28	10	40
4	14	30	2	2	3	9	4	28	9	39
Total	58	123	9	9	10	30	12	84	31	123

Blue Print

**Cognitive Level Mark
Distribution**

Cognitive Level	Marks	% of Marks
Remembering	10	8
Understanding	94	76
Applying	19	16
Analysing		
Evaluating		
Creating		
Total	123	100

SCHEME OF VALUATION
(Scoring Indicators)- Set II
Financial Management

Part A

- I. Answer **all** questions in one word or one sentence. Each question carries 1 mark

1. Raising of funds
 2. Efficient use of funds
 3. Capital budgeting
 4. Average rate of return
 5. Share
 6. Debenture

7. Operating Leverage

8. Cash Dividend

9. Working capital

(9x1=9marks)

Part B

II. Answer **any eight** questions from the following. Each question carries 3 marks.

1. Importance of financial management.(Brief explanation required)

- **Successful promotion**
- **Smooth running of the business**
- **Co-ordination of functional activities**
- **Decision-making**
- **Determinant of business success**

2. Financial planning.(Brief explanation required)

Financial Planning is the process of estimating the capital required and determining its competition. It is the process of framing financial policies in relation to procurement, investment

and administration of funds of an enterprise.

3. Capitalization.(Brief explanation required)

Capitalization refers to the process of determining the quantities of funds that a firm needs to run its business. Capitalization is only the par value of share capital and debenture and it does not include reserve and surplus.

4. Find out Payback period

Pay back period= Initial investment/Annual cash inflow

= Rs 25000/Rs 10000

=2.5 years

5. Ploughing back of profit(Brief explanation required)

The 'Ploughing Back of Profits' is a management policy under which all profits are not distributed amongst the shareholders, but a part of the profit is 'Ploughed back' or retained in the company.

6. Leverages.(Brief explanation required)

Leverage is an investment strategy of using borrowed money—specifically, the use of various financial instruments or borrowed capital—to increase the potential return of an investment. *Leverage* can also refer to the amount of debt a firm uses to finance assets.

7. Capital structure decision (Brief explanation required)

Capital Structure, as the name suggests, means arranging capital from various sources, in order, to meet the need of long-term funds for the business. ...

Also, capital structure decisions impact the risk and return of equity owners.

8. Working capital (Brief explanation required)

It is the amount of capital required for the day to day working of a business

9. Factors determining the working capital requirements of a firm. (Brief explanation required)

a) **Nature of business**

b) **Size of business**

c) **Manufacturing process**

d) **Volume of sales**

e) **Production policy**

f) **Credit policy**

g) **Price level changes**

10. Forms of Dividend (Brief explanation required)

a) **Cash dividend**-Dividend is usually paid in cash

b) **Stock Dividend**-Dividend is issued in the form of bonus shares

c) **Property Dividend**-Dividend in the form of assets other than cash

d) **Interim Dividend**-Dividend declared before the declaration of final dividend

e) **Liquidating Dividend**-When the board of the company thinks of returning the original capital invested by the shareholders then it is known as the liquidating dividend

(8x3=24 marks)

Part C

Answer **all** questions, Each question carries 7 marks.

III Goals or objectives of financial management(Brief explanation required)

a)Profit maximisation: The main objective of financial management is to safeguard the economic interest of the persons who are directly or indirectly connected with the company,i.e shareholders,creditors,employees and others.Hence,these interested parties must get maximum profit for their contributions.

b)Wealth maximisation: Wealth maximisation is an appropriate decision criterion for financial management decisions. Wealth maximisation aims at maximising the wealth of shareholders by increasing earning per share.

c)Value maximisation: Another objective of financial management is to increase the value of the organization. The objective is to maximise the long term market value of the organization.

OR

IV Functions of a financial manager(Brief explanation required)

I-Executive or managerial functions

- **Estimation of Capital Requirement**
- **Determination of Capital structure**
- **Choice of sources of funds**
- Procurement of funds
- Investment of Funds
- Disposal of surplus

II-Routine Functions

- Record keeping and reporting.
- Preparation of financial statements.
- Managing cash balance.
- Cash planning & credit management.
- Protection and safety of financial documents

V Steps in the process of capital budgeting(Brief explanation required)

Project generation

- Project evaluation
- Project selection
- Project execution
- Follow up

OR

VI Calculation of NPV

Year	PV factor@10%	Project A (Cash Flow)	PV	Project B (Cash Flow)	PV
1	0.909	800	727.28	200	181.82
2	0.826	800	661.16	400	330.58
3	0.751	400	300.52	400	300.52
4	0.683	200	136.60	400	273.20
5	0.621			600	372.56
6	0.564			800	451.58
Total			1825.56		1910.26
Less Initial investment			1600		1600
NPV			225.56		310.26

Project B is preferred because it provides highest NPV

VII Meaning of Shares and Debentures(Brief explanation required)

Shares are the company-owned capital. **Debentures** are the borrowed capital of the company. Holder. The person who holds the ownership of the **shares** is called as Shareholders. The person who holds the ownership of the **Debentures** is called as **Debenture** holders.

OR

VIII Concept of cost of capital(Brief explanation required)

It refers to the minimum rate of return that a firm must earn on it's investment,

IX Meaning of Owned capital and Borrowed capital Brief explanation required)

Owned Capital refers to the capital collected by issuing various types of shares. **Borrowed capital** refer tot he capital collected by issuing debentures, bonds, taking loans from banks.

OR

X The types of leveragesBrief explanation required)

- d) **Operating leverage**-It is the firm's ability to use fixed operating costs to magnify the effect of change in sales on its earnings before interest and tax.
- e) **Financial leverage**-The use of fixed income bearing securities along with the owner's equity in the total capital structure of the company is describes as financial leverage.
- f) **Composite leverage**-It expresses the relationship between quantity produced and sold and EPS.

XI Different components of working capital(Brief explanation required)

- f) **Current Assets**
- g) **Cash and cash equivalents**
- h) **Account Receivables**
- i) **Inventory**
- j) **Account Payables**

OR

XII Concepts of working capital(Brief explanation required)

1. **Gross Working Capital**- The concept of gross working capital refers to the total value of current assets
2. **Net working capital**-It represents the excess of current assts over current liabilities.

XII Meaning of Dividend policy(Brief explanation required)

A dividend policy is the policy a company uses to structure its dividend payout to shareholders.

OR

XIV Factors affecting dividend policy(Brief explanation required)

- i. **Nature and Size of Organization**
- ii. **Past Dividend Rates**
- iii. **Earnings Stability**
- iv. **Debt Obligations**
- v. **Investment Opportunities**
- vi. **Shareholders' Expectations**
- vii. **Company's Financial Policy**